

MONEY MATTERS — Home Loans

SAVING YOUR MONEY SAVING YOUR HOME

WHY HOME LOAN MODIFICATION COULD WORK FOR YOU



CONTRIBUTING SHLIACH: RABBI SIMCHA BACKMAN

Writer: Shana Guzick

Due to the recent economic difficulties, many shluchim find themselves in a bit of a tight spot. The ever-increasing costs of living don't quite match up with decreasing income, and shluchim are left wondering, how are we supposed to get by this month?

When cutting coupons and foregoing the family vacation don't seem to be cutting it, shluchim have to find more effective ways to make ends meet.

A person's home is almost always his single greatest cost, consuming roughly a third of his income, if not more. When looking for ways to cut back, it is pivotal that your strategy include analyzing your largest expense. Home-loan modification is a prudent and viable option for those facing financial difficulty. If done properly, it can save you more than \$1,000 every month, adding up to \$100,000 throughout the course of the loan. And here's the good news: due to their very specific financial circumstances, most shluchim are good candidates for successful modification.

Rabbi Simcha Backman of Glendale, California helps shluchim all over America to get loan modifications on their mortgages. He has provided us with some helpful information about loan modifications and tips to make the process as smooth and easy as possible.

WHAT IS A HOME-LOAN MODIFICATION?

A home loan modification is when the bank agrees to change the terms of your home loan in one or more of the following ways:

- Lowering the interest rate on your loan to as little as 2%. This is often done for a period of 5 years, followed by yearly increases of 1%, and then leveling off at the fixed market rate (currently approximately 4.75%) for the remainder of the loan.
- Extending your loan's maturity date (number of years you have to pay) by up to 40 years, thus significantly lowering your monthly payments.

- Forgiving part of the principle loan (the amount due before interest). Though this scenario is extremely rare, it does happen occasionally. Sometimes banks will, instead of forgiving part of the loan completely, defer a portion of the principle and make it due at the loan's maturity date.

Modifications are arranged by the bank servicing the loan. Some of these modifications are endorsed by the Federal Government, while others are arranged entirely by the bank.

GOVERNMENT-ENDORSED MODIFICATIONS

The government's *Making Housing Affordable Program* (MHAP) and *Home Affordable Modification Program* (HAMP) specify that, if your loan is owned or guaranteed by either of the quasi-governmental agencies (Fannie Mae or Freddie Mac), and if you meet their modification qualifications, the bank servicing your loan is obligated by law to grant the modification. If, however, your loan is not owned or guaranteed by the abovementioned government agencies, banks are strongly encouraged, and even receive financial incentive from the government, to modify your loan. In the latter scenario, even if you do not meet the government's modification standards entirely, the bank can still decide to modify your loan nonetheless. In this situation, banks will often modify a loan using guidelines similar to the federal ones.

GOVERNMENT ELIGIBILITY REQUIREMENTS

- The loan originated on or before January 1, 2009
- The home is an owner-occupied, single-family property of 1-4 units
- The home is a primary residence
- Your HIR (housing-to-income ratio) is more than 31%
- Your first lien loan* has an unpaid principal balance equal to or less than:
- 1-unit properties: \$729,750
- 2-unit properties: \$934,200
- 3-unit properties: \$1,129,250
- 4-unit properties: \$1,403,400

BANK-INITIATED MODIFICATIONS

If you don't meet the qualifications for a government-endorsed loan modification, you can apply for a modification through the bank. Since a bank is a private enterprise, it is not legally obligated to modify your loan. However, it is often in the bank's financial interest to modify your loan, anyway. The alternative is to foreclose on the house if you can't make your payment, and, considering nationwide reductions in real-estate values, as well as fees to lawyers and real-estate agents involved in the foreclosure, the bank seldom makes any substantial profit and could even lose profit in the process. Even if your interest payments are significantly reduced by a loan modification, the bank is still making some income, while, with a foreclosure, it may lose a hefty sum of money. It is up to you to prove to the bank that it is financially worth its while to modify your loan.

GENERAL REQUIREMENTS

- Signed affidavit confirming hardship
- Copy of your most recent tax return
- Proof of income (generally 2 months)
- Bank statements (generally 2 months)

HOW TO PRESENT YOUR CASE

You must first prove that a loan modification is justified. You need to show the bank that, though you were able to pay your loan at the time of its origination, you have, since then, fallen on hard

*First lien as opposed to second or third lien. If you have three loans that are altogether more than \$900,000, but the first is below \$729,000, you will still qualify.

HELPFUL HINTS

BE IN CHARGE OF YOUR OWN CASE.

Except in cases of fraud or an imminent sale of your home by the bank, there is no need to hire a company or lawyer to get your modification; in fact, this can be detrimental. A lawyer might assure you that your case is being taken care of, only to break the news of a sale date at the last minute when it might be too late. Nobody will fight for you as hard as you will because nobody cares about your home as much as you do.

STAY ORGANIZED.

Keep track of your modification process. Record every letter you send to the bank and the date it was sent. Send all mail communication using certified mail. Document every call you make with its date and time, the name of the person with whom you spoke, and the substance of the call.

BE PERSISTENT.

Banks get thousands of modification applications, and you have to make yourself stand out. Refer to your record of whom you spoke to on what day, and continue calling them every week until they give you the modification. If they decline your application, reapply. If the bank representative on the phone can't help you, speak to his or her supervisor. If you are persistent, you will have a much greater chance of getting a modification.

IF YOU OWE MORE THAN THE HOUSE IS WORTH, IT IS STILL A GOOD IDEA TO MODIFY YOUR LOAN RATHER THAN FORECLOSE ON THE HOUSE.

In this case, you might think that it is better to foreclose and get a new house than to continue paying exorbitant loans on this one. However, it can take 5-7 years after a foreclosure before you can buy another house. If you owe more than your house is worth, the bank might even forgive some of your loan principle as part of a modification. You just have to present your case forcefully and persistently.

APPLY FOR A MODIFICATION BEFORE YOU'RE LATE ON YOUR PAYMENTS.

If you do, you will prevent damage to your credit score. However, many banks will only take your case seriously if you are late on your payments.

DO NOT SETTLE.

Often, banks will offer modifications that are less than satisfactory. If this happens, you need to properly and thoroughly reassess your situation, and if you decide that the modification that you have been offered is not the best one for you, you can always ask for something better.

times (ie: salary reduction, etc.), making it difficult for you to meet your current monthly mortgage obligation.

You must also demonstrate that, with your current salary, you will be able to make your monthly payments in the event that the bank does modify your loan. The bank will ask you to provide your monthly income, as well as the amounts you plan to spend each month on certain necessary expenses (food, utilities, etc.) to show that, with a modification, you will be able to afford your loan. Since many non-discretionary costs fluctuate from month to month, you can put down a general figure. For example, if your gas bill fluctuates between \$100 and \$300 each month, you can put the number within that range that gets you to your desired HIR.

SUCCESS STORIES

One shliach facing foreclosure was already past the sale date of his house. He applied for a modification, and every time he spoke to someone who wasn't able to help him, he asked to speak to that person's supervisor. This continued until he reached a vice president of the bank, who gave him a loan modification and allowed him to keep his house.

In another case, a reporter writing an article for a Jewish publication interviewed a shliach who was getting the "runaround" from his bank. After interviewing the shliach, the reporter called the shliach's bank to get its side of the story. Shortly thereafter, the shliach received a phone call from his bank, who, after the interview with the reporter, had decided that they wanted to give the shliach a modification, after all.

Another shliach had requested a modification of 2% interest on his loan of more than \$800,000. The bank responded that, instead, the shliach would no longer have to pay interest on \$300,000 of his loan, and additionally, for the following three years, the bank would forgive \$100,000 of the loan principle per year, provided he made his payments on time.

TO SUM IT ALL UP

If you knew that a wealthy donor would guarantee you a steady \$1,000 monthly donation for five years, even if it took significant work and follow-up to obtain that commitment, you would happily put in the work. Why not here? Getting a home loan modification does not require skill, only time and persistence. It will save your money, your house, and your reputation. So if you're still not convinced it's worth the effort, think again. 